

- Dartmouth College, 509
- data biases
- hedge funds, 565–66
 - liquidity biases, 416–26
 - mutual funds, 529–32
 - private equity, 604–6, 608
- data mining, 341
- December returns, hedge funds, 566
- decision weights, in loss aversion utility, 63
- decreasing marginal diversification benefits, 81, 110
- decreasing returns to scale, 312, 315, 537, 570, 608
- default model, structural, 297
- defined benefit plans, 13–16, 186
- defined contribution plans, 13–16
- deflation, 217, 353, 362–63
- degree of risk aversion. *See* risk aversion coefficient, definition
- delegated investing, 491–518. *See also* boards, delegated investing
- delegated portfolio management. *See* contracts principal-agent problem, 492–96
- Deloitte & Touche, 593
- demand pull inflation, 348
- demographic risk, 224–25
- depository institutions, 273
- derivatives, hedge funds and, 561
- desmoothing, 420–23
- Detroit, bankruptcy, 398
- Diamond, Peter, 436
- differential ability, asset managers, 534–35, 537, 567–68, 570–71, 607
- Dimensional Fund Advisers (DFA), 431, 433
- direct vs. indirect real estate, 376–80. *See also* REIT puzzle
- disaster risk, equity premium puzzle, 246–48
- disappointment aversion, 65–66, 95
- disclosure, 394–95, 417, 502–3, 507, 517, 523, 527–29, 541–42, 549, 562, 582–83. *See also* contracts
- discount rate effect
- inflation and returns, 256
 - predictability, 257–59, 266
- discount rate models vs. pricing kernels, 204–5
- discretionary styles, hedge funds, 572
- distressed funds, private equity, 596
- diversification, 30, 48, 76–81, 83–85, 87–88, 108–10, 144–47
- benefits of, 76–78
 - decreasing marginal diversification benefits, 81, 110
 - risks of not diversifying, 83–85
- diversification return, 144–47
- diversity weights, special case of mean-variance investing, 100
- Dividend Discount Model (Gordon), 257
- dividend tax penalty, 408
- Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010, 558
- dominated portfolios, 80
- downside risk, 20, 61–66, 70, 88, 95, 143, 144, 207, 246–48, 252, 298, 311, 454, 472, 558, 622. *See also* short volatility factor
- dual mandate (Federal Reserve), 277
- duration matching, liability hedging, 142, 441
- Dutch disease, 7–9, 31, 71–72
- dynamic factors, 225–39, 404, 449–51, 468–73. *See also* factor investing
- customized factor benchmark, 471–72
 - definition of, 449–50
 - momentum, 235–39, 318–19
 - short volatility factor, 35–40, 51, 64–66, 70, 220–22, 339, 445, 453–55, 572–76, 579–80
 - size factor, 228–30, 230. *See also* SMB factor
 - risk anomaly, 332–44. *See also* betting-against-beta (BAB) factor; low volatility factor
 - value-growth factor, 213, 214, 230–32, 234–35, 449, 467–68. *See also* HML factor
- dynamic leverage strategy, factor investing as, 456
- dynamic portfolio choice, 115–22, 130–35
- long-horizon investing fallacies, 120–22
 - opportunistic strategies, 130–35
 - Merton–Samuelson model, 131, 142–44, 147
 - rebalancing, 122–30
 - tactical and strategic asset allocation, 131–32
- dynamic programming, 117–20
- dynamic stochastic general equilibrium (DSGE) models, 224
- dynamic trading strategies, 116–17. *See* factor investing
- economic growth, macro factor, 215–7, 474–75
- economic models
- in mean-variance investing, 99
 - in predicting returns, 265
 - in risk management, 269–70
- efficient frontier, 76, 91
- Efficient Market Hypothesis (EMH), 209–11
- Employees' Retirement System of Rhode Island (ERSRI), 149–51, 176, 179, 181–82, 188–89
- Employment Retirement Security Act of 1974. *See* ERISA
- Endowment Fund, 587
- endowment model, 26–27, 411–12, 438–39, 445. *See also* Swensen, David
- endowments. *See* foundations and endowments
- Engle, Robert, 266. *See also* ARCH models; GARCH models
- Enron Corp., 83, 520
- enterprise value, 297
- environmental issues, 49, 72, 110. *See also* socially responsible investing
- equal risk contributions, special case of mean-variance investing, 101